

Increasing Blinkit's Profitability

A Business Strategy Case Study

Objective: Identify the key drivers affecting Blinkit's profitability and recommend actionable strategies to improve contribution margins while maintaining service quality.

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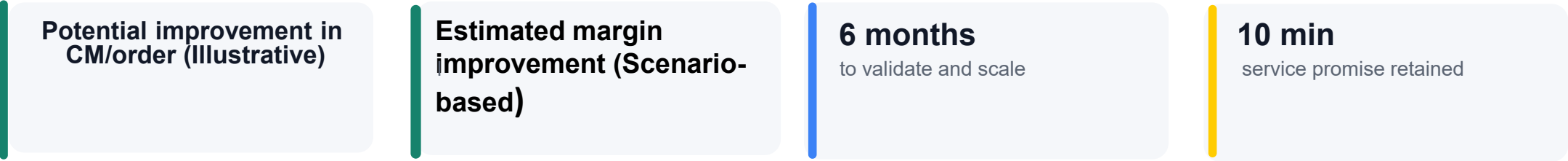
MINUTES

A customer promise
protected as a
guardrail

Blinkit Can Improve Profitability Without Compromising 10-Minute Delivery

Modeled impact is directional; it is not company guidance.

Blinkit's rapid expansion has strengthened market presence but has increased pressure on unit economics. This case identifies practical initiatives to improve profitability without compromising customer experience



Diagnosis

- Low Average Order Value reduces contribution margin.
- Expansion into newer zones lowers order density and increases fulfilment costs.
- Heavy discounting supports growth but weakens long-term profitability.

Strategic Recommendation

- Increase Average Order Value through basket-building and private-label products.
- Improve fulfilment efficiency using rider and dark-store optimisation.
- Expand high-margin revenue streams through membership and advertising.

Recommended sequence

- Quick wins first: basket nudges + discount discipline
- Then: store clustering + routing
- Scale only after unit thresholds hold

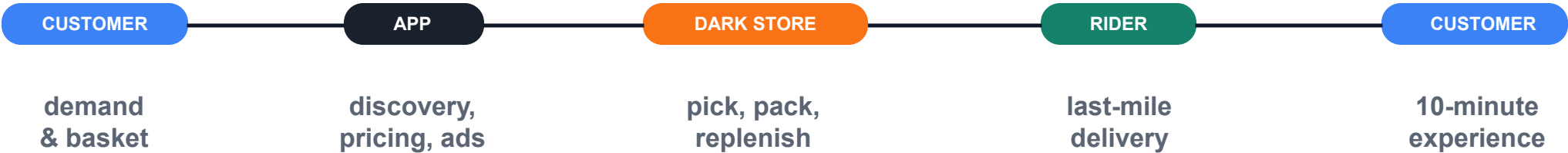
DECISION

Prioritise Contribution Margin per Order (CM/Order) over GMV as the primary metric for expansion, pricing and operational decisions.

Illustrative estimates based on the strategic initiatives proposed in this case. These are not Blinkit's reported figures.

Blinkit's Quick-Commerce Model: Unit Economics Drive Profitability

Only the operating model needed for the profitability question.



Why Quick Commerce is Challenging:

Low AOV → High Delivery Cost → Dark Store Fixed Costs → Limited Delivery Radius → Need High Order Density

Revenue sources:

Core Revenue : Product margin
Platform fees

High-margin Revenue: Advertising
Membership
Private-label products

Value proposition:

Deliver groceries and essentials within 10 minutes through a network of strategically located dark stores.

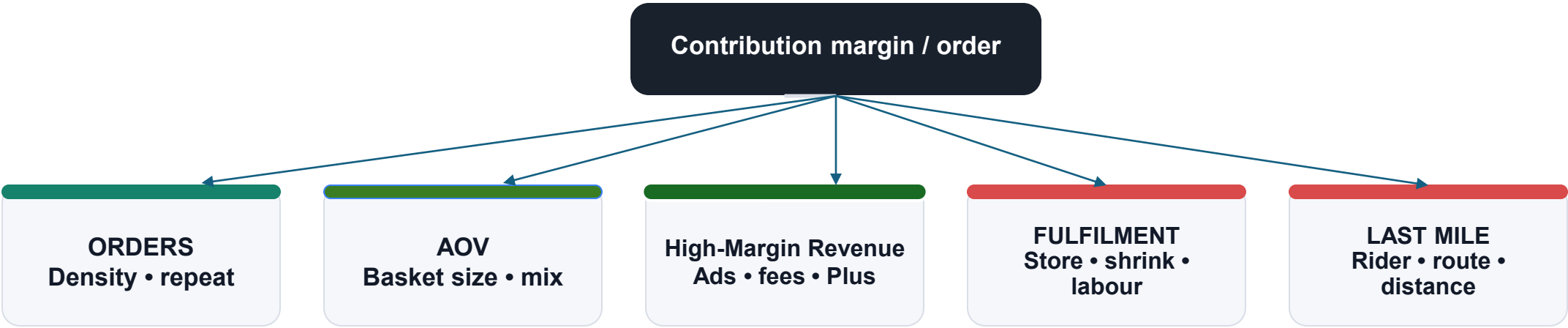
Why Profitability Is Challenging

Blinkit's profitability depends on balancing high fixed operating costs with sufficient order density, basket value, and repeat purchases.

Key Insight: Blinkit's profitability depends more on improving the economics of each order than simply increasing the number of orders

Blinkit's profitability is driven by three controllable levers

Improving profitability requires increasing revenue per order while reducing the cost to serve each order



REVENUE

Number of Orders × AOV + commission / product margin + ads + membership + private-label margin

COSTS

Delivery + dark store + people + inventory loss + discounts + technology / marketing

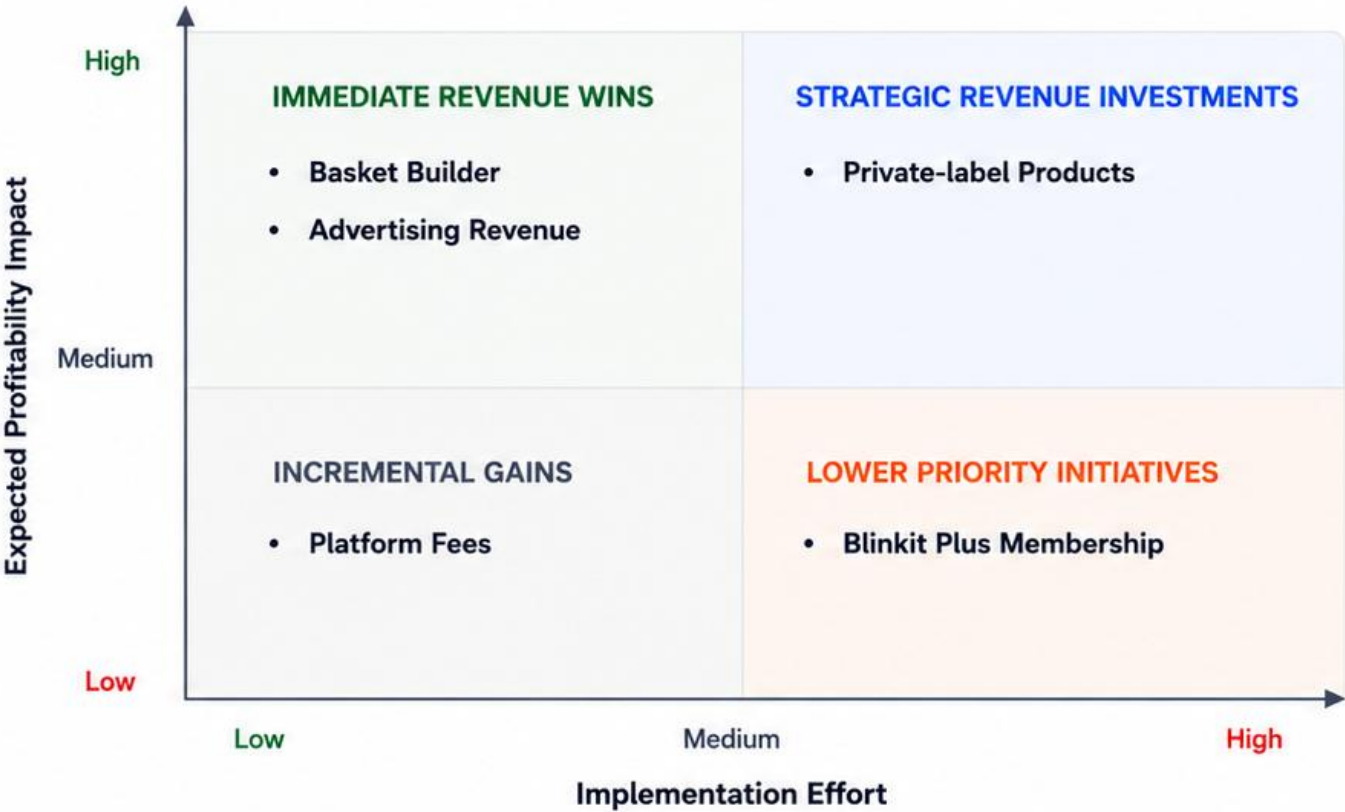
CASE LENS: Optimize CM/order before expanding capacity

Contribution Margin = Revenue per Order – Variable Cost per Order

Revenue Growth Should Focus on Higher-Value Orders, Not Higher Order Volume

Prioritising high-margin revenue initiatives improves contribution margin more sustainably than indiscriminate order growth.

REVENUE INITIATIVES PRIORITISATION MATRIX



PRIORITY REVENUE LEVERS

Basket Builder	Increase AOV
Private-label Products	Improve margins
Advertising Revenue	High-margin revenue
Blinkit Plus Membership	Improve retention
Platform Fees	Incremental monetisation

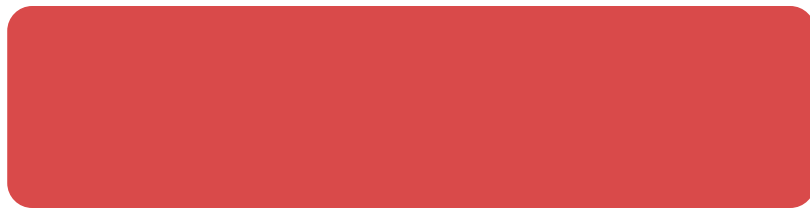
KEY TAKEAWAY: Improving the value of existing orders is a more sustainable path to profitability than simply increasing order volume.

Fulfilment Efficiency Is the Biggest Driver of Cost Optimisation

Illustrative cost stack per order - designed as a diagnostic, not a reported P&L.

Illustrative cost-to-serve model

Estimated Variable Cost per Order



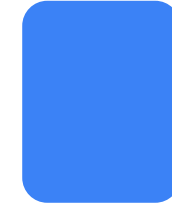
Delivery
(Very High)



Dark store labour + rent
(High)



Discounts / promos
(Medium)



**Inventory loss
& wastage**
(Low)



**Tech +
support**
(Low)

Cost levers with biggest sensitivity

1. Orders per rider / hour

Increase orders per rider through batching and route optimisation.

2. Dark Store Utilisation

Improve picking efficiency and order density.

3. Discount Discipline

Replace blanket discounts with targeted promotions.

Delivery and dark-store operations account for the largest share of fulfilment costs, making utilisation the highest-priority optimisation lever.

Cost Optimisation Mechanism:

Higher Order Density



More Orders per Rider



Lower Delivery Cost per Order



Higher Contribution Margin

ASSUMPTION

Cost allocation is illustrative and based on public disclosures and reasonable operating assumptions.

Three Root Causes Are Limiting Blinkit's Profitability

A MECE diagnosis across demand, fulfilment and monetisation identifies the primary drivers of weak contribution margins.



Key Insight: Blinkit's profitability challenge is driven by local operating economics rather than a lack of customer demand.

Illustrative Profitability Chain



These root causes directly inform the strategic initiatives proposed in the following section.

Six initiatives lift CM while protecting delivery speed

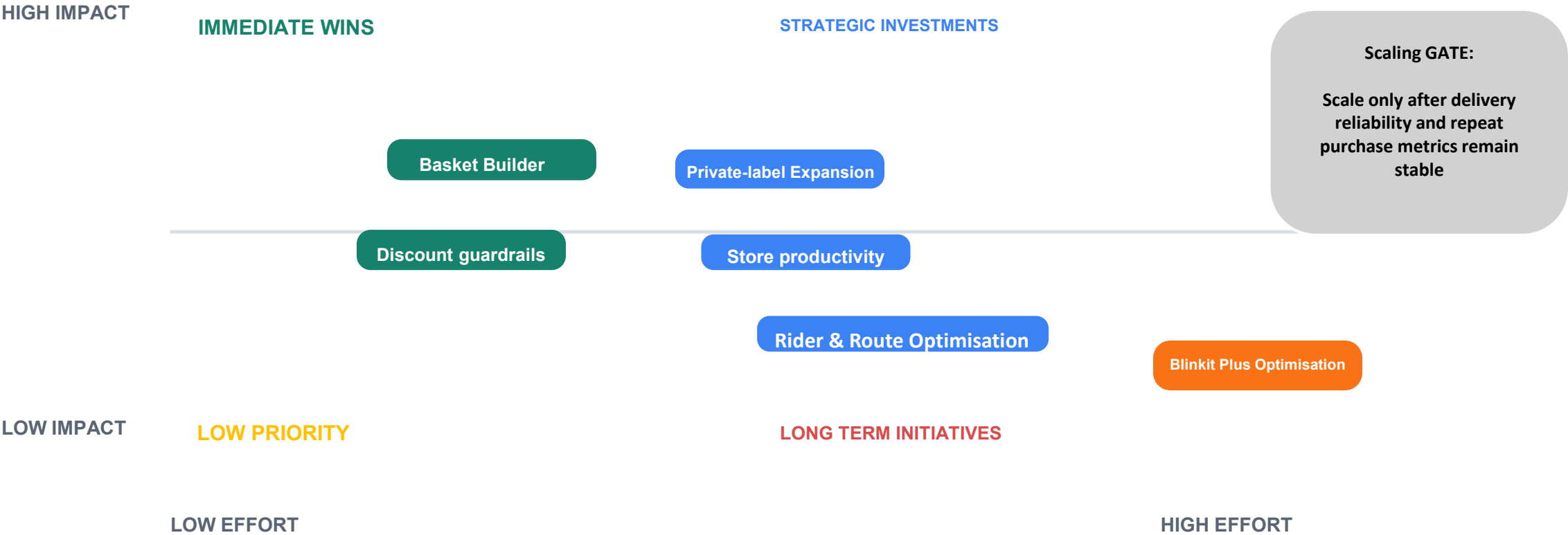
Prioritise interventions that change the economics of an existing order before adding capacity.

INITIATIVE	RECOMMENDATION	Expected Business Impact	DIFFICULTY
1 Basket Builder	Raise AOV via checkout bundles and replenishment prompts	High	Low
2 Targeted Discounting	Offer targeted discounts on incremental baskets	Medium	Low
3 Private-label Expansion	Feature staples where quality and availability are proven	High	Medium
4 Rider and Route Optimisation	Optimise routing and batching	High	Medium
5 Dark Store Productivity	Improve picking efficiency, staffing and assortment.	High	Medium
6 Blinkit Plus Optimization	Price benefits by frequency, basket and city cohort	Medium	High

Recommendations are prioritised based on expected profitability impact, implementation complexity, and alignment with Blinkit's 10-minute delivery promise.

Start with basket and discount levers; earn the right to scale network optimisation

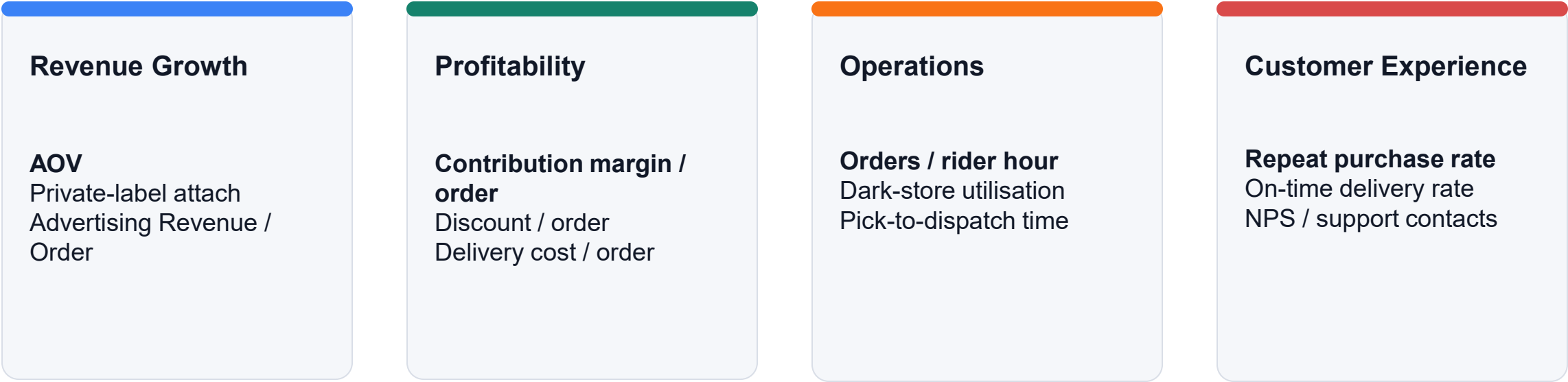
Impact vs effort prioritisation.



Prioritise quick wins before investing in more complex operational initiatives

KPI Dashboard to Balance Growth and Profitability

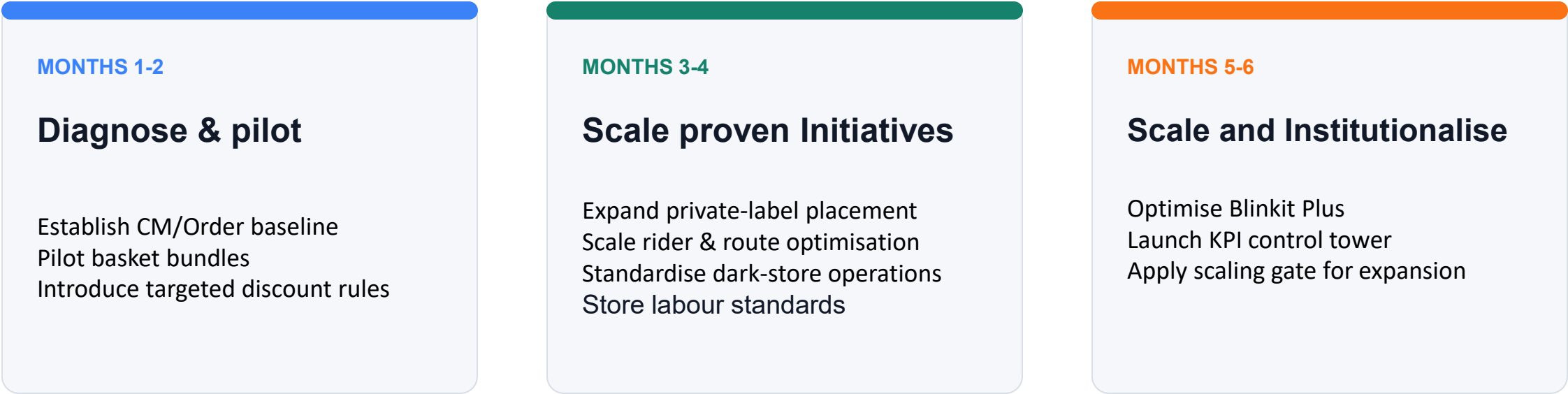
Monitor a balanced set of KPIs to ensure growth improves profitability, operations and customer experience together



Decision Principle: Expand only when both growth metrics and unit economics improve together.

Six-Month Implementation Roadmap

Roll out initiatives in phases to validate unit economics before scaling



Guiding Principle: Validate contribution margin improvements before expanding capacity or entering new zones.

Executive Summary & Key Takeaways

Blinkit can improve **profitability** without compromising its 10-minute delivery **promise** by optimising unit economics before expanding capacity.

Problem

- Low contribution margin per order
- High fulfilment cost in low-density zones
- Heavy dependence on discounts

Recommendations

- Increase Average Order Value (Basket Builder)
- Expand Private-label Products
- Improve Rider & Dark Store Productivity
- Optimise Blinkit Plus
- Targeted Discounting

Expected Outcome

- Higher Contribution Margin per Order
- Better Cost Efficiency
- Sustainable Growth
- Stable Customer Experience

Implementation Roadmap (Six Months)



Success KPIs (Control Tower)



Final Recommendation: Improve the economics of existing orders before expanding network capacity.
Scale only after profitability and customer experience targets are consistently achieved.